

PHUKET

Airbnb & Real Estate Market Report

Prepared to evaluate an Airbnb rental / property investment or management opportunity

Data sources: AirDNA, AirROI, Colliers Thailand, CBRE Thailand, Bangkok Post, Thai legal counsel publications

August 30, 2026

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Executive Summary

The Opportunity in 5 Points

- **Revenue per listing has roughly doubled while supply has been cut in half.** Active short-term rental listings fell 55.2% year-on-year to 11,501, while average annual revenue per listing rose 112.4% to \$27.8K (AirDNA, trailing twelve months to July 2026). This is enforcement rationing supply, not organic demand growth.
- **The real estate market has stalled, not corrected.** Condo prices are flat at roughly THB 150,000/sqm (+0.6% year-on-year, Colliers Thailand), while villa take-up fell from 50.2% to a forecast 45.1% for 2026. Buyers have some leverage, but there is no distressed-asset window.
- **Almost no legal path exists for condo-based daily rentals.** Any stay under 30 days is a hotel business under the Hotel Act B.E. 2547; condominiums cannot realistically obtain a hotel licence, so daily or weekly condo rentals are unlawful regardless of platform listing status.
- **Villas hold the only workable legal structure for short-term income.** Properties with 8 rooms or fewer and 30 guests or fewer can register a 5-year Certificate of Exemption. This is the path AirDNA's Regulation subscore (72/100) is implicitly pricing in for the Phuket market.
- **Foreign ownership caps the ceiling on scale.** Condo freehold is capped at 49% of a building's floor area; land ownership is closed to foreigners outright, so villas require a 30-year leasehold. Any operating model has to be built around leasehold economics from the first unit.

High-Potential Zones

Zone	Why It Matters	Key Number
Bang Tao / Laguna / Cherngtalay	Established premium west-coast corridor; strongest price resilience and STR revenue	Condo >THB 180,000/sqm (CBRE); STR ADR \$275, \$21,389/yr avg revenue in adjacent Choeng Thale (AirROI)
Rawai / Nai Harn	Deepest STR market by listing count; strong long-stay demand	2,426 active listings, \$15,882/yr avg revenue, 40.0% occupancy (AirROI)
Kammala	Mid-market STR with above-average RevPAR	\$14,412/yr avg revenue, \$62 RevPAR, 48.1% occupancy (AirROI)
Kathu / Chalong / Phuket Town	Lowest entry price; weaker STR yield, better long-let liquidity	Condo entry from ~\$100K; STR revenue ~\$3,300–4,300/yr (AirROI)

1. Short-Term Rental Market

Headline Metrics (AirDNA, updated August 25, 2026)

Metric	Phuket (TTM to Jul 2026)	YoY Change
Active listings	11,501	–55.2%
Avg. annual revenue / listing	\$27.8K	+112.4%
Occupancy	63%	+25.4%
Average daily rate (ADR)	\$148	–22.6%
RevPAR	\$94	+5.8%
AirDNA Market Score	64 / 100	Demand 73, Seasonality 52, Revenue growth 53, Regulation 72

Performance by Neighborhood (AirROI, 2026 dataset)

Neighborhood	Active Listings	Avg. Annual Revenue	ADR	Occupancy
Choeng Thale	—	\$21,389	\$275	36.7%
Rawai	2,426	\$15,882	\$222	40.0%
Kammala	29	\$14,412	\$127	48.1%
Talat Yai	44	\$4,301	\$62	46.3%
Phuket City Municipality	60	\$3,330	\$46	33.7%
Pa Khlok (small sample)	—	\$50,244*	\$849	29.4%

* Pa Khlok's headline figure (\$4,187/month) is driven by a handful of high-ADR listings in a market with very few active properties; treat it as an outlier rather than a representative benchmark.

What This Means for Phuket

A 55% collapse in listing count alongside a doubling of revenue per listing is not what organic demand growth looks like — it is what a market looks like after non-compliant supply gets removed and remaining demand concentrates on fewer, apparently compliant properties. Section 2 sets out why that removal happened and what it means for any new entrant.

2. The Regulatory Reality

Thailand's Hotel Act B.E. 2547 (2004) is the single governing law, and it has not been amended for platforms like Airbnb. Any paid stay under 30 days is legally a hotel business, full stop — this applies to a standalone villa exactly as it does to a condominium unit.

Structure	Legal Status	Requirement
Condo, stay under 30 days	Illegal without a hotel licence (rarely obtainable for condos)	Hotel Act B.E. 2547, Sections 15 & 59
Condo, stay 30 days or more	Legal	Standard residential lease; no licence needed
Villa/house, ≤8 rooms & ≤30 guests	Legal with registration	5-year Certificate of Exemption at the local district office
Villa/house, larger than above	Illegal without a full hotel licence	Hotel Act B.E. 2547
Any structure, foreign guests	Separate obligation regardless of the above	TM30 filing; fine of THB 800–2,000 per unreported guest

Penalties

- Operating without a licence or registered exemption: up to 1 year imprisonment, an initial fine of THB 20,000, plus THB 10,000 for every additional day the violation continues.
- A Thai court judgment in early 2026 confirmed that only monthly-or-longer rentals are exempt from the Hotel Act, closing off any ambiguity that a well-run "condotel" model might survive.

Enforcement in 2025–2026

Enforcement in Phuket is run jointly with the Immigration Bureau, alongside the Department of Provincial Administration and Revenue Department. Authorities now cross-reference tax filings, TM30 guest records, and booking-platform data rather than relying on complaints — a shift from a complaint-driven to a data-driven enforcement model. Platforms themselves (Airbnb, Booking.com) do not verify licence status independently; they list first and remove only when notified of a specific violation.

What This Means for a Phuket Airbnb Business

A model built on daily-rental condo income is not compliant, whatever the platform allows a host to list. A model built on villa ownership within the exemption threshold, or on 30-day-plus stays, is compliant — and is functionally the market that AirDNA's Regulation subscore of 72/100 is describing.

3. Real Estate Market

Metric	2025	2026 Forecast
Avg. condo price / sqm	THB 149,070 (~\$4,550)	THB 150,000 (~\$4,590), +0.6% YoY
Condo units launched	7,636	~6,000
Condo units sold / take-up rate	8,372 units / 64.9%	~8,000 units / 65%
Villas launched	1,100	~800
Villas sold / take-up rate	1,080 units / 50.16%	~900 units / 45.13%
Land price growth, 2004–2024	+647% cumulative (10.58%/yr avg)	—

Source: Colliers Thailand, via Undersun Estate (2026); THB/USD conversion at 32.7, August 25, 2026.

Pricing by Zone

Band	Zones	Price / sqm
Premium west coast	Bang Tao, Layan, Kamala, Surin, Cherngtalay	THB 130,000–180,000+ (~\$4,000–\$5,500+)
Entry / value zones	Kathu, Chalong, Phuket Town, Rawai, Nai Harn	THB 55,000–100,000 (~\$1,700–\$3,000)

Interpretation

Condo pricing has plateaued rather than corrected. Supply constraints — buildable west-coast land is nearly exhausted and new construction permits fell 15–20% versus 2022 levels — are holding the price floor, but 0.6% year-on-year growth is far below the 8–12% seen from 2023 to 2025. Villas show the opposite signal: take-up is falling even as launch volume also falls, which points to demand-side softening specific to that product, not a supply glut.

4. Foreign Ownership & Visa Landscape

Structure	Access	Constraint
Condo, freehold	Foreigners eligible	Capped at 49% of building floor area; unchanged despite a proposed 75% quota, which has not been enacted
Condo, leasehold	Available beyond the 49% quota	30-year term; the Supreme Court invalidated stacked "30+30+30" renewals in March 2025 — only the first 30-year term is enforceable
Villa / land	Foreigners cannot own land	Building can be foreign-owned; land requires a 30-year registered lease
Company structure	Legally available in principle	Under active DSI investigation if it resembles a nominee arrangement: 46,000+ companies flagged nationally, 852 prosecuted, THB 15.1B in identified damages (2025–2026)

The Phuket Property Visa

A THB 3 million freehold condo purchase, a THB 85,000/month lease, or a 3-year lease worth approximately THB 3.06 million qualifies for a renewable 1-year long-stay visa, piloted in Phuket since October 2025. Applicants must report to immigration every 90 days, and the visa is revocable for illegal activity.

Uptake has been narrow: 25–35 approvals in Phuket by February 2026, out of 650+ national applications. Local tourism operators have publicly opposed the THB 3 million threshold as too low, warning it could be used to acquire multiple units for short-term letting. Treat this as a residency tool for an owner-operator today, not yet a scaled acquisition channel.

5. Unit Economics (Illustrative)

Two structures represent the realistic choices for a Phuket operator: a villa run under the exemption route, and a condo restricted to 30-day-plus leasing. Figures below are market-level benchmarks, not a specific-property underwrite.

	Villa (STR, exemption route)	Condo (30-day+ lease only)
Typical entry price	\$230K–\$1.4M on the west coast; from ~\$150K in emerging southern zones	\$100K–\$300K, mid-market
Yield	Gross 6–12% (wide range); well-managed portfolios report 7.8–8.4% net at 72–78% occupancy	4–6% gross; no STR premium available
Management fee	20–30% of gross STR revenue	Typically one month's rent per year to a letting agent
Running costs	CAM/insurance ~THB 800–1,500/sqm; one-time sinking fund THB 500–800/sqm	Same CAM range; no STR-specific overhead
Compliance overhead	Certificate of Exemption registration; TM30 filing per guest	Minimal — standard lease registration
Entry costs	3–4% of property value (transfer, legal, due diligence)	3–4%

Interpretation

The villa/STR model carries the higher headline yield but also the only real compliance burden and a management-fee drag of 20–30% off the top. The condo/long-let model is simpler and fully legal but yields roughly half. There is currently no product offering both condo-level convenience and villa-level STR income within the legal framework.

6. Demand Drivers

Metric	2025	2026
Thailand international arrivals	32.97M (–7.23% YoY, first annual decline since the pandemic)	TAT target 33M; YTD through August down ~3.2%
Long-haul arrivals (Europe, UK, US, Australia)	10.8M (+10.6%, record high)	—
Phuket International Airport passengers (2024 baseline)	19.7M	—

Interpretation

Overall arrivals are softening, but the mix is shifting toward long-haul, higher-spend, longer-stay travelers — the guest profile that favors villas and 30-day-plus stays over short hotel-style bookings. That reinforces the villa/exemption model over daily condo rental on demand grounds as well as legal ones.

7. Risk Factors & Mitigation

Risk	Impact	Mitigation
Operating a condo as a daily rental	Criminal penalties, forced closure, resale value hit	Restrict condo units to 30-day+ leases; hold STR income only in exempted villas
Enforcement intensifying, data-driven	Rising detection probability regardless of past track record	Register the villa exemption proactively; file TM30 for every guest
Leasehold renewal risk	Only the first 30-year term is enforceable; stacked renewals are not guaranteed	Underwrite acquisitions on the 30-year term, not marketed 60/90-year narratives
Villa take-up softening (45.1% forecast 2026)	Slower resale liquidity for villa product	Favor established corridors (Bang Tao, Laguna) over emerging zones for exit liquidity
Nominee-structure exposure	Criminal and civil liability; DSI actively investigating	Use foreign-quota freehold or clean 30-year leasehold; avoid majority-Thai company structures holding property for a foreign principal
Condo price stagnation (+0.6% YoY)	Limited near-term capital appreciation	Underwrite on yield, not appreciation, at current growth rates

Closing Note

Phuket's short-term rental data is telling an enforcement story, not a demand story. Fewer listings earning far more each is what a market looks like after non-compliant supply gets removed — not what organic growth looks like. Entering now, on the compliant side of that line, is timed better than entering was two years ago, when daily condo rentals were still tolerated in practice.

The only route to a multi-unit STR portfolio that survives 2026-level enforcement is villas under the exemption threshold, acquired on 30-year leasehold, run at the 7.8–8.4% net yields the better-managed portfolios are already achieving. A condo-heavy strategy caps out at long-term-lease economics (4–6% gross) unless paired with a licensed hotel or branded-residence structure.

Underwrite two or three villas in an established west-coast corridor before condo units, and build compliance registration — exemption certificate, TM30 — into the acquisition cost from the first unit, not as a retrofit.

Data sources: AirDNA (short-term rental performance, updated August 2026), AirROI (neighborhood-level STR data, 2026), Colliers Thailand and CBRE Thailand (real estate pricing and supply), Bangkok Post, Lexology, Terms.Law, and Aster of Asia (regulatory and visa detail), as cited throughout. STR revenue and occupancy figures are market averages and will vary materially by property — treat them as a starting benchmark, not a specific-property forecast.